Studying the Norwegian State Project Model and comparing it to the Icelandic public



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1-introduction

The main aim of the study is to examine the current state of project governance when it comes to large investment projects in Iceland and Norway.
We will explore the model governance for both countries in order to compare them through the investigation of two schemes that will allow us to establish with a graphical analysis, which country has adopted the best managerial strategy.
In particular, this study aims to analyse the legislation surrounding project governance of major public infrastructure projects in Norway and Iceland where Interest in project governance has been increasingly growing globally.

2-Research method

The first research-method we applied has been looking at the thesis of Steinun María Gunnlaugsdóttir, we found it very comprehensive and rich in content: from theory to sources to results, everything is in accord with exposed in the textbook [].
In particular, we have delved into the main sources of the thesis by giving a subjective opinion on the findings exhibited.

This report has been developed around two patterns:

1) The first one is based on OECD criteria [A], It uses four main items to rich the level of consistency about several stages in a governance model project, the model is so structured:

- the structure that makes up the framework.
- The embedded principles, describing the values and the essential basic rules of appropriate behaviour to ensure ethical practices.
- The development process, stating the purpose of the framework, its impact and effectiveness.
- The elements, within the framework concerning cost estimate and time planning.
- The quality assurance requirement.
- Post-evaluation of the scheme, as it is considered a valuable part to monitor the performance.

2) The second scheme riches all the main questions in order to examine the validity of the models through a personal analysis.

The purpose of this report is to obtain critical results on the validity of the two project models (Icelandic and Norwegian) using mathematical sources and opinion developed through theory.

3. conclusion

In this chapter we show the reasons that have supported the choices for the compilation of the first scheme coming from the analysis OECD. We explore each item comparing the two models in all the main aspects.

3.1 Structure

Icelandic legislation is based on public initiatives with an implemented top-down and the finance set the rules, nevertheless the approaches applied to the rule-building framework are vague because there are no references to them. This rule-building framework is far from the Norway one where the scheme is based on regulation, in fact, the program is revised through an evaluation called a Conceptual Appraisal (CA) [] and an independent evaluation of the program is called a Quality Assurance of Choice of Concept (QA1) [].
About roles and responsibility, they are clearly defined; Icelanders undergo a top-down method of decision making from the Ministry of Economic Affairs, finance defines economic policy. The basic instructions provide the standard interpretation and mode of use. As well as in Norway where the model plan is sent to Parliament, which is responsible for the final decision on the project and provides the budgeted expense that commits the responsible ministry.

3.2 The principles

In Iceland, the formal regulations presented in law for public-private partnership agrees really without the least speck of formality or framework. Overall, there is an outline for the content, but the content should be enhanced to meet the purpose while in the Norway model, the system stresses the openness of policy decision-making. This has been quite carefully conducted. Guidelines are thorough and are easily accessed by the public.
In Iceland, the Budget Committee considers the proposal of the committee and the final funding decision for the project is determined only during the planning phase. It places the ultimate responsibility on the project's consignor. In Norway the responsibility concept is an essential aspect of governance system. This extends to all levels of government departments, from the top to the implementation agency.

3.3 The process

The Norway model is an open-ended appraisal process thanks to guidelines are available to the public and they are well published.
Thus, there is a reliable measure by stochastic (probability-based) cost estimation and a mathematical model or computer model are employed to measure the investment expense.
We cannot say the same for the Iceland model where there is no formal method for quality assurance of choice of definition and cost estimate and It is unclear how the laws were created, because there are no details about how they were made.
according to sources [], the Norwegian model is efficient to 80% not exceeding the initial investment costs. We cannot compare this result with the Icelandic one because there are not enough sources.
In Norway, the procedure is not a formalized stage-gate approach, but it suggests two points at front

end where the project should be checked and then transferred to next stage. There is no official guideline for selecting ideas or gauging the costing while in Iceland, quality testing has to be done when a development plan is submitted before it is sent to approve.

4. references

Summary

References

[A] OECD, Policy framework for investment user’s toolkit - Public Governance. 2011.

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